BERNSTEIN
SOCIETE GENERALE GROUP

Global Aerospace & Defense

Space Exploration Technologies Corporation

Rating

Outperform

Price Target

SPCX 248.00 USD


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SpaceX: Strong Q3 results; Ambitious plans for terrestrial AI and Connectivity

SPCX reported Q3 2026 earnings after the close on Tuesday.

Q3 results were positive, although it is the outlook that matters. SpaceX reported Q3 diluted EPS of $0.35, significantly ahead of consensus $0.15. Revenue reached $14.58bn, exceeding consensus of $12.88bn. Segment operating income was $2.79bn, well above consensus $1.21bn, driven by smaller-than-expected losses in the Space segment, positive AI operating income and stronger Connectivity margins of 45%, compared to consensus 38%. AI Capex of $16.44bn slightly below consensus $16.90bn.

A stronger outlook (again) than management previously indicated. An annual revenue run rate of at least $100bn is expected by year-end, but with now an ARR of $500bn-$1,000 expected by end of 2027 - mostly driven by terrestrial compute. The company now expects to be close to 2.5-3GW by the end of 2026. By the end of 2027 capacity is expected to be at least13GW (and possibly a total 23GW). The company said pricing is now tracking above the $30-$50/watt range given by Musk at Q2. Short term compute contracts will remain the focus to take advantage of rising demand.

This year, SpaceX hopes to have the first fully reusable orbital flight next (Launch 15). SpaceX will try to catch both first and second stage on this flight. SpaceX now targets one launch per week in 1H27, ramping to two launches per week by year-end 2027 (when the company intends to be operating five launch pads). That launch rate will require regular reuse of both the booster and the second stage, which is central to the orbital data center concept. Orbital data centers were not discussed on the call.

Accelerated AI buildout driving meaningful revenue, and meaningful incremental capex. Q4 capex was indicated at $35-$40B, well above consensus (~$22B) given the accelerated AI buildout. With this ramp, the company guided to Q1 revenue of $33B-$37B, (midpoint $35B), well above consensus ~$23B. Elon suggested a 2027 revenue exit rate (Dec x 12) *possibly* in the range of $500B-$1T, presumably with higher installed capacity and sustained revenue per GW at high levels. He noted a current payback period of <1 year and possibility of a 6 month payback next year. For the record, we note current consensus for FY29 SPCX revenues stand at ~$290B. *(continued)*

Close Date	20 Oct 2026
SPCX Close Price (USD)	147.79
Price Target (USD)	248.00
Upside/(Downside)	68%
52-Week Range	225.64/104.83
SPX	7,712.57
FYE	Dec
Div Yield	NA
Market Cap (USD) (B)	2,005.93
EV (USD) (B)	1,945.28

Performance	YTD	1M	6M	12M
Absolute (%)	NA	(3.2)	NA	NA
SPX (%)	12.7	0.8	8.5	14.5
Relative (%)	NA	(4.0)	NA	NA

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E
SPCX (USD)	--	(0.19)	1.37

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	18,674	46,665	152,220	--
Adjusted EBITDA	6,584.0	21,360.0	87,689.0	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)		(777.8)	108.1
EV/Adj EBITDA (x)	295.5	91.1	22.2

Source: Bloomberg, Bernstein estimates and analysis.

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(continued)

In Connectivity, Starlink grew its subscriber base by 1.6 million sequentially to 13.6 million in 3Q26. While revenue and operating margin exceeded consensus expectations, subscriber additions came in below expectations. The ARPU was sequentially improved to $69. Enterprise and Government grew 18% sequentially. After its recent acquisition of low band spectrum, SPCX showed a strong commitment to the Mobile D2D business, including a potential terrestrial buildout. Even though, there is still a long way to get an operational network, with next year's Upper C-band auction, SpaceX appears to be aggressively moving forward. The company has received approval to launch 15,000 V2 sats. We continue to believe the company will need an MVNO relationship for ultimate success. Connectivity is the cash generator at this stage. Operating margin of 45% beat estimates of 38%.

Terafab coming, aggressive targets... While acknowledging that the company is just beginning to figure out chip fabrication, Elon outlined (aggressive? aspirational?) targets for ramp, with first test chips targeted in 2027 and volume production by Q328. He at least admitted freely that these are very aggressive targets (we agree), but his Terafab aspirations appear genuinely real if not in concrete just yet. **Power build coming, also aggressive...** As Elon has previously said, the bottleneck in producing industrial gas turbine power for a 20GW AI buildout is turbine blades, which come primarily from three major suppliers (Howmet, PCC, CPP). Starting from the capabilities SpaceX internally has to make castings used in rocket motors, the view is that this SpaceX can produce IGT blades to be used in gas turbines produced by some of the major producers (e.g., GE Vernova, Siemens, Mitsubishi, Solar, and others). It remains to be seen how well this capability can be transferred. But, it is correct that blades are a bottleneck and SpaceX will not have to worry about their internally produced blades coming in at a competitive cost to those of other suppliers.

On other **operational metrics**, within Space, the company launched 35 spacecraft during Q3, including 12 for 3rd parties and 23 deployed internally. The MTO was 476 metric tons. Segment revenue of $1.77bn beat consensus estimate of $1.43bn. Revenue of $5.25bn was well above consensus of $4.86bn. For its AI segment, SPCX reported 1.7GW of nameplate compute capacity and a capex of $16.44bn during the quarter (Exhibit 1). That compute capacity is expected to be around 2.5-3.0GW by year-end.

EXHIBIT 1: **Segment results**

Segments	Revenues ($m)			Margins (%)				Capex ($m)	
	Reported	Bernstein	Year ago	Reported	Bernstein	Last Q	Year ago	Reported	Year ago
Space	1,767	1,538	1,666	-0.4%	-20.8%	-56.3%	15.5%	1,606	946
Connectivty	5,248	4,517	3,096	45.1%	39.5%	38.6%	38.4%	1,543	1,130
AI	7,560	6,713	814	5.7%	1.3%	-49.1%	-211.3%	16,444	749
Total	**14,575**	**12,768**	**5,576**	**19.1%**	**12.2%**	**-1.8%**	**-4.9%**	19,593	2,825

Source: Company reports, Bernstein analysis and estimates

INVESTMENT IMPLICATIONS

We rate SPCX Outperform, TP $248, based on 2031 EBITDA for each segment. We use late stage venture discount rates, 25% and 35%, respectively, for Connectivity and AI.

BERNSTEIN TICKER TABLE

			20 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)	
			Closing	Price	Rel.						
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
SPCX (SpaceX)	O	USD	147.79	248.00	NA	USD		(0.19)	1.37		(777.8)	108.1
SPX			7,712.57									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Space Exploration Technologies Corporation

We base our valuation approach on 12-month forward EV/EBITDA applied to 2031 EBITDA. We believe it is necessary to use a long-term period (i.e., 2031) because the cornerstone of the value is in the orbital data centers. Applying a multiple to, say, 2028 EBITDA would not capture any of that business - i.e., it would simply be space launch, terrestrial compute and near-term Starlink. We use a sum of the parts methodology to give an EV/EBITDA valuation in 2030 (based on 2031 values). We then discount that valuation backward for each segment to mid-2027 in order to reach a one year target price of $248.

RISKS

Space Exploration Technologies Corporation

Downside Risks to our Outperform rating and $248 price target include the ability to dramatically growth Starship launch capacity over time, which depends on full reusability. SpaceX must be able to operationalize its orbital data centers to deliver on the valuation. Semiconductor availability could also be a constraint, as could other potential supply chain issues. There are also risks associated with potential launch incidents or regulatory restrictions. Should compute demand be more limited than most expectations, that would form another risk.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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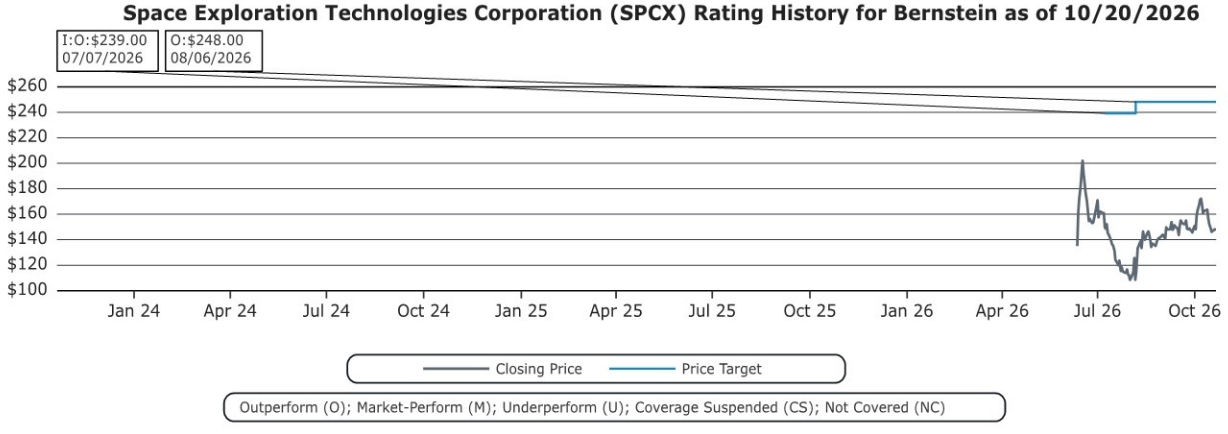
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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